Like Ben Horrowitz I view culture as something employees should be able to act on rather than believing in. Therefore I share this document with key principles how we operate and make decisions at Lio. I am inviting every new and existing Teammember to question wheter they believe these principles are beneficial. Beneficial to their personal growth as well as for the company Lio as a whole.

What follows isn't a list of everything we believe in but rather a list of principles that meet two criteria:

1. I am convinced that living by them is critical to win at what we are building
2. These Principles are harder to accept than at most companies but are critical to the personal growth of everyone on the team

We know this is not for everyone because those principles come with sacrafices. Someone looking for structure and a predictable week, Lio might not be the route they choose. That said we rather want you to know that now than finding out three months in.

Before we start, I wanted to share a bit of context on what you are walking into and why the work you will do here matters so much.

I believe we're stuck in a system that was never built for humans. Enterprise giants turned people into data processors. Processes replaced purpose. Forms replaced thinking and workflows replaced creativity. We answer emails no one should write. Follow rules no one understands and keep systems alive that should've died years ago. Smart people were turned into robotic workers. But we are about to change that.

We stand at the edge of the next revolution — one not powered by steam or silicon, but by intelligence itself. Recent breakthroughs in AI have opened the door to something bigger: A chance to redesign how humans live, work, and thrive. A chance to let people step out of the grind — and step into work that matters.

Not in research papers or foundation models, but by bringing this technology to life. We believe you have to start in the messy, vital systems that keep the world running. The overlooked, the under loved, the essential. That's why procurement is the entrance, it's the ideal proving ground. If we can transform how an entire Procurement department operates, we can transform how the world works. Not to optimize another workflow. But to prove what's possible — when Lio Agents takes the weight.

We have the privilege to use our talent to bring AI to these enterprises. So far most have failed. To be more specific 95% of enterprise AI pilots never make it past a POC. Probably not because their tech wasn't good enough, but because nobody cares enough to finish the job. Nobody stays long enough, fights hard enough, or knows the customer well enough to get it across the line. We did.

We skipped the part where you start small. No Mittelstand warmup or friendly pilots with forgiving customers. From day one, we went straight to the largest Enterprises in the world and we went live with Companies like Covestro, Munich RE or Lufthansa. The German Federal Ministry recognized us as the first company to successfully deploy productive AI agents inside enterprises of this scale. Y Combinator ranked us in the top 1% of our batch. And every major

award we've gone for, we've won. When I flew to the Silicon Valley it took me only 72 hours to get Term Sheets from all the influential investors out there. Because the traction we have and the Enterprise we work with, was unheard of even for T1 VCs.

But work like this comes with a weight because with that privilege comes duty. You're expected to act with urgency and excellence, and to do things rather than talk about them. I believe in you, in your talent and your ability to get better every day. You are here because we believe you can reach a much higher level than where you are today. Lets fucking go.

**Values and Principles of Lio.**

**Keep a Beginners Mindset.** At Lio we approache every customer, every problem, and every situation without assuming to know the answer. Lio was founded in 2023 by people who knew nothing about procurement, this turned out to be the biggest advantage. Without carring the weight of how things are supposed to work, we could see how they actually work and build accordingly. Every significant thing we have achieved came from **listening before concluding**. The moment a person at Lio decides **they know better than the customer, they have stopped being useful** because they stopped listening. If a person stops listening they can't ask the right question. Ultimatly this keeps Lio from improving and that means we failed. The customer is always the most important source of information we won't fail to serve them.

**Care for your customer.** Genuinely caring for the customer is the necessary component of achieving the trust and cohesion necessary to build Lio. Working here means selling a service not a Software product. Because I believe the next $1 Trillion company will be a software company masquerading as a service firm. Top level performance therefore requires you to speak the customer's language, understand their problems, and take full ownership of the outcome on their side. By creating mutual trust customers will stop seeing you as a vendor and start treating you as a partner. This and only this is why Lio opened an office in New York, is growing in Munich, and raised a Series A, with Series B terms at a speed most companies never see. Lio is a winning company. Sadly most companies in Munich are mediocre, up to you which company you want to join. But every person here has the responsibility to maintain these standards! When a customer is unhappy and you didn't notice you are not looking for someone else to blame. Just assume it is your fault. Life gehts a lot easier if you assume everything is your fault. It is the fastest way to fix the problem and the only way to grow. Working here and not noticing a customer is unhappy means you have failed at the most important part of your job: Caring. Any person who consistently fails to do this will soon find themselves working somewhere else (probably at a mediocre company). No kidding.

**Care about the problem.** You might think this is the same as caring for the customer. It is definitely at Lio, but this is not true for every company. For example, consultancies care a lot about the customer and implement everything the customer wants, but this often results in digitizing legacy processes or reorganizing the same non-working processes. At Lio, we don't want to build faster horses; we want to reinvent the procurement space. This means we have to figure out the root problem our customers face and find a product that solves it, because in the end, customers are only paying if we solve a true problem for them. Therefore, at Lio, everyone should constantly try to understand the problems customers face, question existing processes, and build products that redefine how procurement operates.

**Decide at 70%.** Working at Lio means accepting that we will never have 100% information. When building something, never build before, certainty does not exist. The relevant question therefore should never be "do I know enough?" but rather"do I know enough to make the best possible decision?" At roughly 70% of the information needed, a person at Lio decides and acts. The remaining 30% is risk. That risk is being figured out in real time to close the gap of not knowing. At Lio this is most percistantly done by outworking the uncertainty and hacking the details to their advantage. Someone who waits for certainty before acting is wasting time. At Lio speed is generally the tiebreaker in uncertain cases because time unnecessarily invested will make us lose deals, trust and ultimately revenue.

**Revenue heals everything.** Direct every hour of your work toward maximizing the rate of impact you can contribute. Impact is here measured with revenue. As neither a scrappy solution delivered at record pace nor a polished one that takes a long time to produce is desirable, we seek the optimal tradeoff between speed and quality depending on the particular situation. At Lio the single most important KPI is Growth. As Lio promotes an ARR impact-only approach, means tasks of lesser impotrance can stay in the backlog indefinitely while this person tackles the other with focus and determination. Spending time on work disconnected from revenue is not just unproductive but borrowing time from everyone else trying to keep this company alive. Next time you find yourself working on a new task ask yourself: is this contributing to ARR? → Because revenue heals everything.

**Embrace the suck.** Working at Lio means to consciously accept, endure and find value in unpleasent, unfomfortable, or challenging situations. Instead of complaining or resisting, we encourage everyone to adopt a resilient “adapt and overcome” mindset to push through difficulties and grow stronger.

**Keep up the f*cking momentum.** As Sam Altman said: “Momentum is everything in a startup. If you have momentum, you can survive most other problems. If you do not have momentum, nothing except getting momentum will solve your problems." By the way this is also the reason I am pushing in-offce culture: Because it helps us obtain insane momentum (Think about what hearing the Gong when does to you when we close the next $500k deal vs. receiving a slack message). And right after closing the $500k deal we should ask ourselves: How are we going to close a $1 Million Deal? We don’t rest on our successes, they do fuel us with energy and we celbrate the wins together - but we don’t slow down**.** A good example of that mindset is after Sequoia made their first IPO with Google the first meeting after that was called “How can we do better?”. We are also always reaching for more. And this is how we operate here at Lio.

**Performing ordinary doesn’t meet our Standards.** Personally I am a massive advocate of working smart. But there is no denying the fact that working hard is equally important when excelling in a competitive landscape like ours. What we all need to understand, there is no secret sauce in the best companies coming out of Palo Alto or YC. They just work harder. They just outwork every other company on the planet and this is what we do at Lio, too. We understand that ordinary work produces ordinary outcomes and ordinary outcomes fail to meet the Lio standards. To succeed at Lio, people are self-motivated, relentless in pursuing their objectives, and dedicated in their efforts to deliver. Most find it fulfilling to be part of a team whose members operate with such a high level of drive and ambition, viewing it as a force multiplier for their own growth rather than finding it intimidating. Nevertheless, we are aware that we are a company where challenges, workloads, and expectations are considerably high and this we reckon is not for everybody. Lio is somewhere between writing history and failing,

every day as there is no inbetween if you build a winning startup. This concludes every person who is not operating at their personal best, is not just underperforming but pulling down everyone who does.

**We win together.** At Lio we win and lose as a team, that means we aren't celebrating individual successes. The moment a person starts optimizing for themselves, stops asking for help, stops informing the team, and starts fighting alone, they don' just underperform they break the entire system and a broken system fails everyone who is trying to make Lio succed. In practice this means: I want you to ask for help when you are stuck and speak up when something is wrong! The ONLY THING (and I mean this literally) that can't be fixed is silence. Working at Lio means believing we are the best team in the world to do business with and we expect to win! Our Team is our product. If we fail as a team, our product fails too. The only reason any of this works is because we are made up of exceptional people pulling on the same rope.

**Physics is the law. Everything else is a recommendation.** The only constraints that actually exist are the laws of physics. Everything else, every process, every industry standard, every "that's not how it works" is a rule someone made up. And rules made by people can be changed by Lio employees, and we have proven that a dozen times now. If it is technically possible, we build it! A person at Lio operates from this position Every time someone told us it could not be done, we did it anyways. We are not a company. We are a startup. And there is a difference. We do not even have departmens (that sometimes compete against each other which I find stupid). We have ONE revenue Org that solves problems together. The people who built what Lio is today gave up weekends, sleep, and comfort. Blood, sweat, and tears from the people sitting next to you right now. That is not something you take lightly. When you join Lio, you are not just joining a job. You are joining something people fought incredibly hard to build. I need you to treat it that way!

**Please make mistakes and fail.** Lio highly appreciates you making mistakes and failing at things you are working on. We are are great place to make mistakes (we have plenty of practice!), because failure and invention are inseparable twins. To invent you have to experiment, and if you know in advance that it's going to work, it's not an experiment. Failing shows us we are trying to solve hard problems and therfore working on the right things. What matters is whether you lived by the principles discuessed above. As long as you do that, you will have a home at Lio.

**What now?**

We have strong reason to believe that most people here appreciate these principles - and many love Lio precisely because of them, not in despite them. As a company growing at speed and hiring for excellence, independent thinkers are inevitable — and different perspectives make us stronger.

Nonetheless, the principles in this document are critical to building what we are building and I am not willing to compromise on that. I understand there will be some people at Lio who won't agree with at least one of these principles. However, we do ask you to reflect on the misalignments and decide whether you are willing to agree and commit to the company's chosen path anyways. If that's the case, then we're delighted to move forward together and I promise you there is not a better place for you to be part of. In the meantime enjoy the fucking ride!

This is the hunt of our Lifes.

My door is always open. If you ever want to ask something or share a point of view, feel free to reach out and most important have fun!

In the meantime
there is so much left to build, let's build it.

**VLAD**